

Borrow and spend

The **Centre**, in consultation with the Reserve Bank of India, **will** raise ₹8 lakh crore in the first half of FY26, or 54 per cent of its gross borrowing target of ₹14.82 lakh crore, to finance its **fiscal deficit**. This is **slightly** above the corresponding figure of 53.2 per cent of annual borrowing in FY25. Markets had expected a borrowing plan that was in the 56-58 per cent range, as in FY24 and FY23. Their reasons are not hard to **seek**.

Private investment is **unlikely** to **gain traction** for a while in FY26, as the world waits for the **dust** on Trump's tariff **tantrums to settle down**. According to the second advance estimates of GDP released last month, government expenditure growth this fiscal is estimated at 3.8 per cent, while first half growth was just 1.7 per cent **on account of** election-related **curbs**. It is a reasonable ask that this level be raised in the emerging situation, when the economy needs a **prudent fiscal** boost to **complement** monetary policy efforts. **The uptick** in Q4, with growth estimated at 7.6 per cent and private consumption spending at 9.9 per cent, **may** not **sustain**.

In a situation of **subdued credit uptake** (11.1 per cent growth as on March 7 y-o-y), the latest government borrowing calendar may not have a **crowding out effect** on other borrowing for now. It will raise the planned ₹8 lakh crore over 26 weekly **auctions**, through **bonds** of **tenors** ranging from three years to 50 years (green bond issuances thrown into the mix). There is a **bias** towards short-term funds. The **share** of issuances in tenors of 10 years or below **is** over 51 per cent, against 49 per cent for borrowings in H1FY25. It is vice versa for bonds of 15-year tenor and above. **Bonds** of 10-year tenor **account for** the highest share of issuances at 26.3 per cent, against 25.6 per cent last year. An **assessment** by a leading private bank **points to** FPI (**foreign portfolio investors**) preference for five-year tenors (issuances increased for H1FY26), even as banks and insurance companies remain the main buyers at about 70 per cent of the **incremental** demand. It seems that the government wants to manage its short-term cost of borrowing, **anticipating** demand in this segment; long-term borrowings can be institutionally managed. As for the shape of the **yield curve**, it is **flat** (little difference between short- and long-term rates), **notwithstanding** growth **prospects**. Be that as it may, it will **keep** borrowing costs **in check**. The yield curve may normalise as the global order stabilises. **Meanwhile**, a growth boost in the short term could help raise the yield curve by improving growth prospects.

In order to negate the effects of a **longstanding liquidity deficit** which acts as a **dampener** to credit growth, the government should spend **proactively** and **prudently** on long-term assets. Poor utilisation of funds has been a **bane** of many a government department. The Centre should **front-load** its spending, even if it is **beset** by **apprehensions** over revenue collection in the new fiscal. That can be **dealt with**, once a **virtuous** growth cycle **gets going**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Fiscal deficit** (noun) – It occurs when a government's total expenditures exceed its income, excluding borrowings. राजकोषीय घाटा
2. **Slightly** (adverb) – Marginally, Somewhat, A little, Moderately, Minimally थोड़ा
3. **Seek** (verb) – Search, Pursue, Look for, Attempt, Strive खोजना
4. **Unlikely** (adjective) – Improbable, Doubtful, Questionable, Unpromising, Remote असंभावित
5. **Gain traction** (phrase) – Gain momentum, Catch on, Take hold, Progress, Advance प्रगति करना
6. **Settle down the dust** (phrase) – Resolve, Calm, Stabilize, Normalize, Pacify स्थिर होना
7. **Tantrum** (noun) – Outburst, Fit, Rage, Fury, Temper tantrum गुस्से का आवेश
8. **On account of** (phrase) – Because of, Due to, Owing to, Thanks to, As a result of के कारण
9. **Curb** (noun) – Restriction, Limit, Control, Check, Constraint अंकुश
10. **Prudent** (adjective) – Wise, Judicious, Sensible, Cautious, Practical विवेकपूर्ण
11. **Fiscal** (adjective) – Financial, Economic, Budgetary, Monetary, Revenue related राजकोषीय
12. **Complement** (verb) – Supplement, Enhance, Complete, Balance, Augment पूरक होना
13. **Uptick** (noun) – Increase, Rise, Improvement, Growth, Boost वृद्धि
14. **Sustain** (verb) – Maintain, Continue, Uphold, Preserve, Support बनाए रखना
15. **Subdued** (adjective) – Muted, Restrained, Moderate, Lowkey, Tempered मंद
16. **Credit offtake** (noun) – the increase in the amount of credit or loans disbursed by banks to various sectors of the economy, indicating an increase in borrowing and economic activity ऋण की मांग
17. **Crowding out effect** (noun) – a situation where increased government spending or borrowing leads to a decrease in private sector spending and investment, often due to higher interest rates
18. **Auction** (noun) – Bidding, Sale, Tender, Public sale, Offer नीलामी
19. **Bond** (noun) – a fixed-income investment that represents a loan made by an investor to a borrower, usually corporate or governmental.

20. **Tenor** (noun) – Maturity, Duration, Term, Time frame, Period अवधि
21. **Bias** (noun) – Preference, Inclination, Tendency, Predisposition, Leaning पक्षपात
22. **Assessment** (noun) – Evaluation, Appraisal, Analysis, Judgment, Estimation आकलन
23. **Point to** (phrasal verb) – Indicate, Suggest, Highlight, Show, Signal इंगित करना
24. **Foreign portfolio investor** (FPI) (noun) – an investor to invest in securities and financial assets of other countries.
25. **Incremental** (adjective) – Gradual, Step-by-step, Progressive, Additional, Accumulative वृद्धिशील
26. **Anticipate** (verb) – Expect, Foresee, Predict, Forecast, Envisage पूर्वानुमान करना
27. **Yield curve** (noun) – a curve on a graph in which the yield of fixed-interest securities is plotted against the length of time they have to run to maturity.
28. **Flat** (adjective) – Level, Unchanged, Static, Uniform, Unvarying सपाट
29. **Notwithstanding** (preposition) – Despite, In spite of, Regardless of, Although, Even with के बावजूद
30. **Prospect** (noun) – Outlook, Possibility, Potential, Expectation, Likelihood संभावना
31. **Keep in check** (phrase) – Control, Restrain, Limit, Curb, Contain नियंत्रण में रखना
32. **Meanwhile** (adverb) – In the meantime, Simultaneously, Concurrently, At the same time, For now इस बीच
33. **In order to** (phrase) – So as to, With the aim of, For the purpose of, To, With a view to के लिए
34. **Negate** (verb) – Nullify, Cancel, Invalidate, Counteract, Reverse नकारना
35. **Longstanding** (adjective) – Long-term, Enduring, Persistent, Established, Chronic दीर्घकालिक
36. **Liquidity deficit** (noun) – It means banks don't have enough readily available cash or liquid assets to meet short-term obligations and customer credit demands
37. **Dampener** (noun) – Discouragement, Depressant, Wet blanket, Constraint, Hindrance निराशाजनक
38. **Proactively** (adverb) – Preventively, Actively, Anticipatorily, Pre-emptively, Ahead सक्रिय रूप से
39. **Prudently** (adverb) – Wisely, Judiciously, Sensibly, Cautiously, Carefully विवेकपूर्ण ढंग से
40. **Bane** (noun) – Curse, Scourge, Plague, Affliction, Downfall अभिशाप

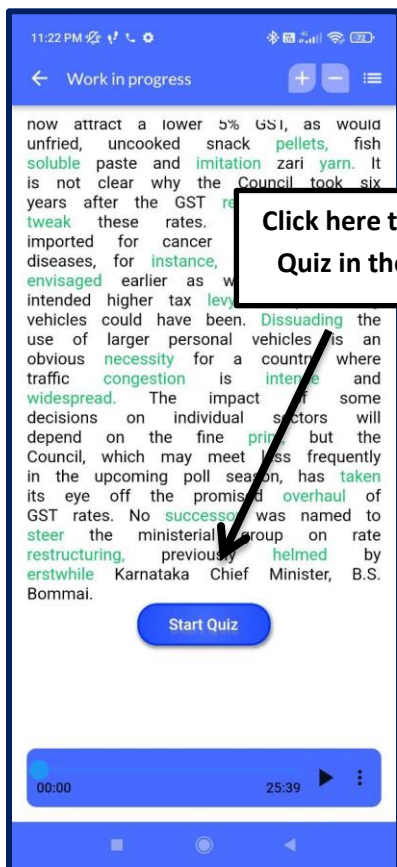
41. **Front-load** (verb) – distribute or allocate (costs, effort, etc.) – unevenly, with the greater proportion at the beginning of the enterprise or process.
42. **Beset** (verb) – Trouble, Plague, Harass, Afflict, Bother घेरना
43. **Apprehension** (noun) – Anxiety, Fear, Worry, Concern, Unease आशंका
44. **Deal with** (phrasal verb) – Handle, Manage, Address, Tackle, Confront निपटना
45. **Virtuous** (adjective) – Righteous, Moral, Ethical, Good, Noble नैतिक
46. **Get going** (phrase) – Begin, Start, Commence, Initiate, Launch शुरू करना

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Summary of the Editorial

1. **Borrowing Plan:** The Centre plans to raise ₹8 lakh crore (54% of FY26's ₹14.82 lakh crore target) in H1FY26, slightly higher than FY25's 53.2%.
2. **Market Expectations:** Markets anticipated 56-58% borrowing (like FY24 & FY23), but the government opted for a more conservative approach.
3. **Private Investment Slowdown:** Global uncertainty (e.g., Trump's tariffs) may delay private investment recovery in FY26.
4. **Low Govt. Spending Growth:** FY25 government expenditure grew just **1.7% in H1** (due to election curbs) and **3.8% for the full year**—below what the economy needs.
5. **Need for Fiscal Stimulus:** With weak private investment, a **prudent fiscal boost** is necessary to complement monetary policy.
6. **Q4 Growth Uptick:** GDP grew **7.6%** in Q4, and private consumption surged **9.9%**, but sustainability is uncertain.
7. **Subdued Credit Growth:** Bank credit grew just **11.1% (YoY, March 7)**, reducing fears of **crowding out** private borrowing.
8. **Borrowing Strategy:** ₹8 lakh crore will be raised via **26 weekly auctions**, including bonds from **3 to 50 years** (with green bonds included).
9. **Short-Term Focus:** Over **51% of issuances** are in **≤10-year tenors** (vs. 49% in H1FY25), indicating a **preference for lower-cost short-term funds**.
10. **FPI & Institutional Demand:** FPIs favor **5-year bonds**, while banks/insurers (70% of demand) absorb most issuances.
11. **Flat Yield Curve:** Little difference between short & long-term rates, keeping borrowing costs **stable despite growth prospects**.
12. **Yield Curve Normalization:** Expected later as global conditions stabilize.
13. **Liquidity Deficit Issue:** Persistent liquidity crunch is **hurting credit growth**—govt. must spend **proactively on long-term assets**.
14. **Inefficient Spending:** Poor fund utilization by govt. departments remains a problem—**front-loading expenditure** could help.
15. **Growth Over Revenue Fears:** Despite revenue concerns, **stimulus now** can kickstart a **virtuous growth cycle**, aiding future collections.

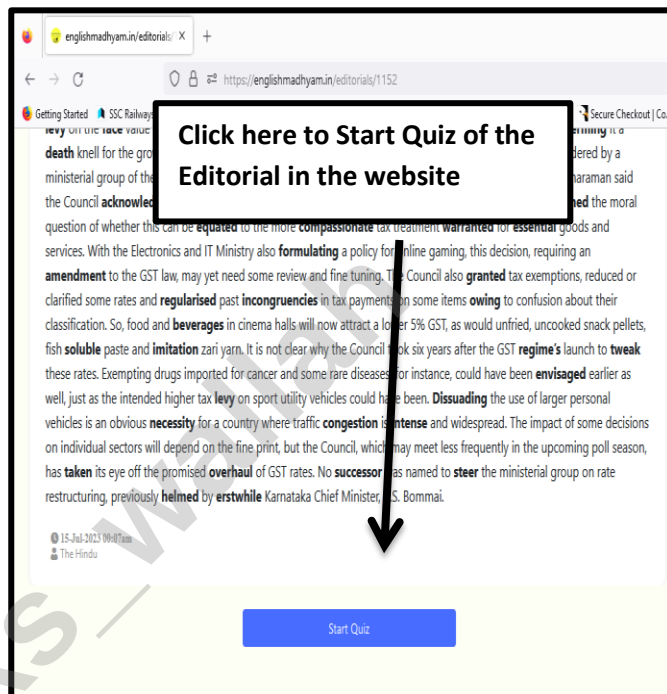
Practice Exercise: Banking Pattern Based



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